SCHEDULE EECC-HPO

ELECTRIC ENERGY COMMODITY COST
HOURLY PRICING OPTION

SPECIAL CONDITIONS (Continued)

15. Termination Of Service. After 12 months, Customer may terminate service under this schedule and transfer commodity rate service to Schedule EECC upon written notice to the Utility. Such transfer to Schedule EECC shall be effective on the customer's next regularly scheduled meter read date.

16. Bill Protection Incentive. A customer electing the Bill Protection Incentive will not pay more for energy commodity service than they would have had they remained on Schedule EECC. This incentive is applied for the first twelve (12) months that a customer receives service under the HPO rate provided the customer takes continuous service for the entire duration of the bill protection period on an open account. Bill protection benefits will be computed on a cumulative basis at the end of the bill protection period and, if warranted, shall be received as a credit on the customer's bill following the end of the bill protection period. Customers who signed up for Bill Protection prior to June 14, 2004 will no longer be required to reduce an average of 3%. Customers who signed for this schedule prior to June 14, 2004 will have 60 days from Commission approval of the Utility's Advice Letter 1595-E to elect Bill Protection. D NTD N

17. Technical Assistance Incentive. The technical assistance option shall enable customers to earn a rebate for professional technical assistance that enhances the customer's ability to respond to HPO Hourly Prices with on-peak demand reductions. Customers shall receive a rebate (not to exceed actual costs) based on $50 per kW of curtailable on-peak load reduction nominated by the customer through a signed Technical Assistance Incentive Application. L T

    Customer shall receive 50% of the rebate following submission of a signed Application prepared in conjunction with an audit conducted by a CEC-certified Professional Engineer (P.E.) of potential on-peak load reductions. Customers shall receive the remainder of the rebate after demonstrating peak demand reduction of at least 50% of their nominated load drop as averaged over four (4) months under the EECC-HPO schedule. If the minimum level of demand reduction does not occur, the customer shall not be awarded the remainder of the rebate.

    The technical assistance incentives will be available to participants until December 31, 2005, or until the funding for the transitional incentives are exhausted. L